

have till now preferred to work with PSUs in brownfield re-development projects.

Policy reforms over the years, from production sharing under NELP to revenue sharing under the 2017 Hydrocarbon Exploration Policy (HELP), have failed to attract foreign players. The private sector has focused primarily on refining and marketing. National oil output fell from 36 million tonnes in FY17 to 28.7 million tonnes in FY25 as the first generation of offshore platforms near the end of their life. There have also been delays in monetising existing discoveries and scarcity of new finds. Even in natural gas, production, which has increased in the last decade, is expected to remain flat till 2030, forcing an increase in imports, say experts.

POLICY INITIATIVES

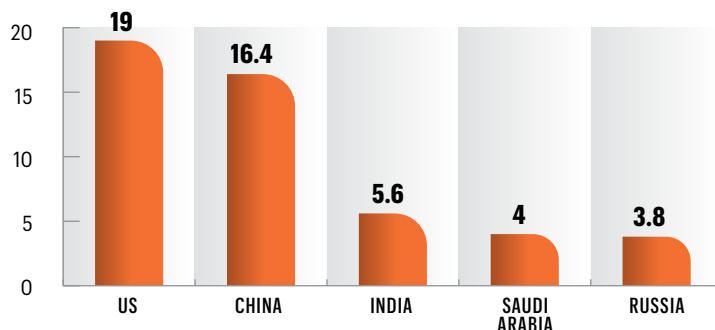
The government is taking steps to address the gaps. In 2025, it amended the Oilfields Act, 1948, to address the long-standing concerns of exploration companies and foster a more investor-friendly environment. The new Petroleum and Natural Gas Rules, 2025, under the Act allow one unified petroleum lease for all upstream activities, replacing the previous scattered permits. The rules also set clear procedures for settling disputes, managing data, and sharing production and processing facilities.

Will these end the long funding winter for India's E&P sector? DK Sarraf, former CMD, ONGC, says the production sharing regime earlier provided some capital security to companies as they were able to recover the exploration cost once successful. This is missing now. "The HELP did not interfere with operations of oil and gas companies but demanded that the revenue be shared. The overseas companies feel this is not the best option," says Sarraf, brushing off the disputes under NELP. No foreign player has ventured into a greenfield oil and gas project since HELP was unveiled in 2017.

Another deterrent for global energy companies has been sudden policy changes. Cairn Energy's retrospective tax dispute with the government is often cited as

INDIA IS THE 3RD-LARGEST CRUDE CONSUMER AFTER THE US AND CHINA....

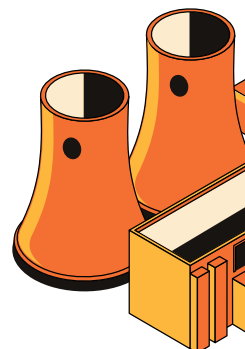
DAILY CONSUMPTION (MILLION BARRELS)



SOURCE: MINISTRY OF COMMERCE/THE ENERGY INSTITUTE, US

AGENDA FOR ENERGY SECURITY

- Stable long-term policy to build trust among foreign investors
- Incentives for exploration work
- Streamlining approval processes, including land acquisition
- Sharing of risk burden by the government as projects involve huge investments
- Rationalising rules in the crude oil exploration and production space
- Pricing freedom to private players on the lines of the coal sector



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MN TONNES

OIL OUTPUT IN
FY25 AS AGAINST
36 MILLION
TONNES IN FY17

a turning point for investor confidence in India's policy regime.

In 2012, India amended its tax laws retrospectively (going back to 1962) to target transactions involving indirect transfer of Indian assets. The government claimed that London-listed Cairn Energy owed ₹10,247 crore in taxes related to its 2006 corporate restructuring under which Cairn UK transferred shares of Cairn India Holdings to its Indian counterpart, Cairn India. The company initiated international arbitration in 2015. In 2020, a permanent court of arbitration at the Hague ruled in favour of Cairn, asking India to pay \$1.2 billion plus interest and costs as damages. The government initially refused to honour the award, but in August 2021, brought a law to scrap all retrospective tax demands and refund the money collected but without interest or penalty. This was initiated after Cairn started a legal process